Promotional Sunset Plan

Target Segment: Premium Value customers with low promotional dependency (Dependency Score ≤ 1) and above-average previous purchases.

Trigger Behavior: Customers continue purchasing frequently despite limited use of discount codes or promotional offers.

Action: Gradually reduce discount exposure for this segment. Replace blanket discounts with loyalty benefits such as early access to collections, exclusive products, or member-only experiences.

Rollout Timeline:

Month 1: Reduce discount frequency by 25%.

Month 2: Reduce discount frequency by 50%.

Month 3: Remove recurring promotional offers and replace them with loyalty-focused incentives.

Success Metrics:

- Repeat Purchase Rate
- Revenue Retention Rate
- Average Order Value
- Customer Satisfaction Rating

Expected Margin Impact: Reduced promotional spending should improve gross margin while maintaining revenue from customers who already demonstrate strong brand affinity.

Trade-Off: The primary risk is a short-term decline in purchase frequency among customers who were partially influenced by discounts. However, if repeat purchase rates remain stable, the company gains higher profitability without sacrificing customer value.